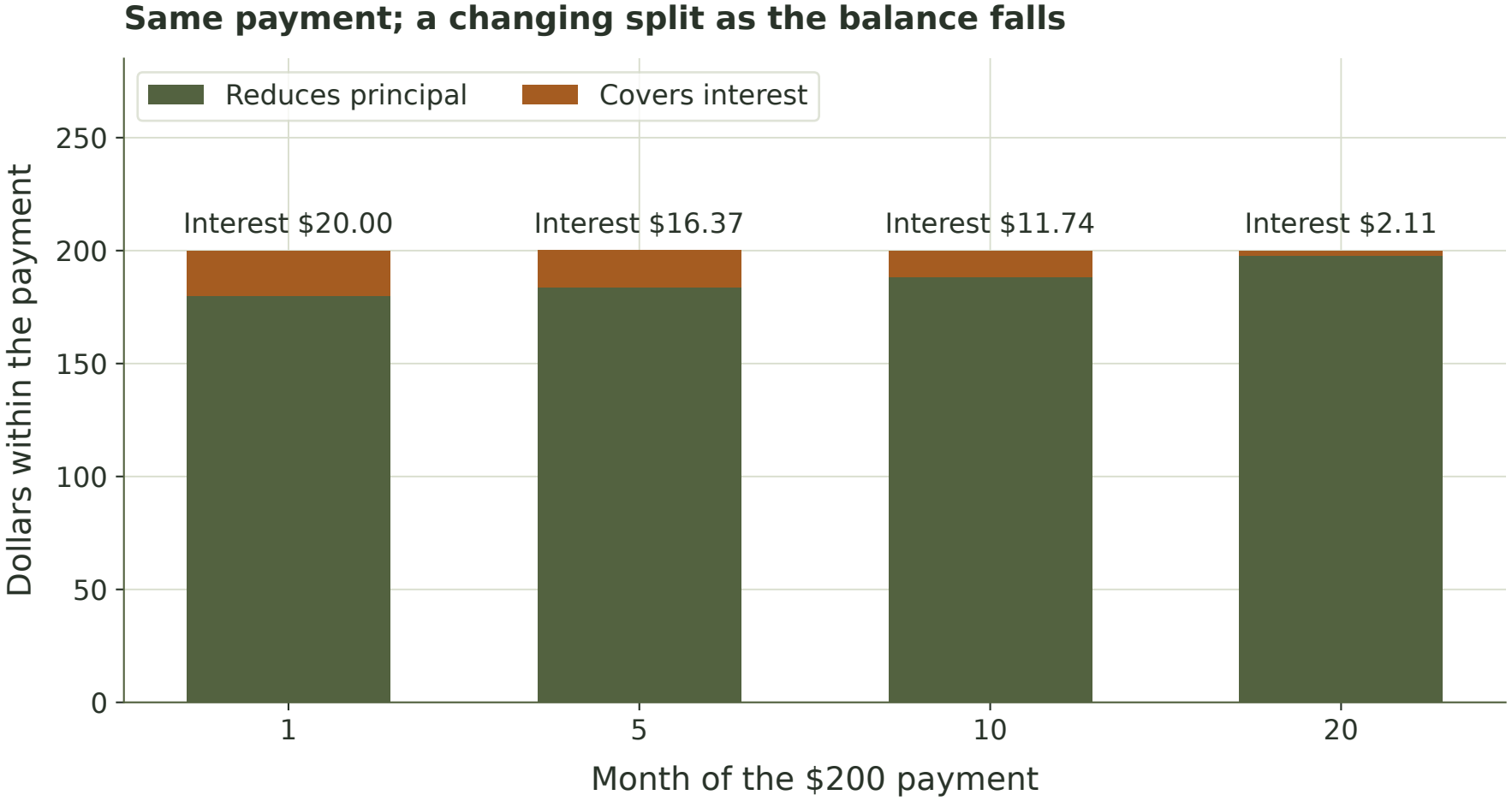
Same payment; a changing split as the balance falls
Reduces principal
Covers interest
Interest $20.00
Interest $16.37
Interest $11.74
Interest $2.11
250
200
150
100
50
0
Dollars within the payment
1
5
10
20
Month of the $200 payment